



DUE DILIGENCE REPORT



Arpan Chudgar and Associates

Chartered Accountants

514, Ratnanjali Square, Anandnagar Cross Road,
Prahladnagar, Ahmedabad- 380015 Gujarat India

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Name of the Entity	SCJR CONSUMERS PRIVATE LIMITED
Address	8-2-268/K/3, NAVODAYA SOCIETY, RD NO. 2, BANJARA HILLS, HYDERABAD- 500034, TELANGANA, INDIA
Report Date	26TH DECEMBER, 2023



Dear Management,

In accordance with your requirements, we have prepared this Due Diligence report on “**SCJR CONSUMERS PRIVATE LIMITED**” (“Company”). This report is addressed to and intended for the use of addressee- Growth Sense Private Limited (“Client”) and its Associates. Save as expressly provided for in our engagement letter, it is not to be referred to or quoted, in whole or in part, in any other context without our prior written consent. This report is based on the latest information made available to us as at the completion of our work and we have not updated our work since that date. We accept no responsibility to update it for events that take place after the date of its issue. We prepared this report based on information supplied by and from discussions with the directors, management and employees of the Company. We have not verified the accuracy, reliability or completeness of the information supplied and the procedures that we used to perform the work did not constitute an audit or review made under any generally accepted auditing standards. We emphasize that our enquiries would not necessarily disclose all matters of significance to you relating to the Company.

This report was prepared on the specific instructions of Client solely for the purposes of the proposed transaction and should not be used or relied for any other purpose. If any unauthorized persons choose to rely on any of the contents of this report, they may do so at their own risk. This report includes information not available to the public, accordingly, this report is strictly confidential, and no part thereof may be reproduced or used by any other party other than Client for its intended use.

The decision as to whether to consummate the transaction lies solely with Client and our findings or other work shall not in any way constitute a recommendation as to whether Client should or should not consummate this transaction or the price or other terms upon which this transaction should be consummated. Client’s management shall be fully and solely responsible for applying independent business judgment with respect to the services and work product provided by us, and to determine further courses of action with respect to any matters addressed in any services, reports or other work product or deliverables to Company.

For, Arpan Chudgar & Associates
Chartered Accountants
FRN: 133877W

Arpan Chudgar

CA. Arpan Chudgar
Proprietor

M. No. 131876

UDIN: 23131876BGWPUG8681



Place: Ahmedabad
Date: 26th December, 2023

Notice to any person not authorized to have access to this report

No reliance unless reliance letter executed

Any person who is not an addressee of this report or who has not signed either a "no-reliance" or an "assumption of duty" release letter is not authorized to have access to this report. We do not accept or assume responsibility to any unauthorized person to whom this report is shown or any other person who may otherwise gain access to it. If any unauthorized person chooses to rely on the contents of this report, they do so entirely at their own risk. Should any unauthorized person obtain access to and read this report, such person accepts and agrees that:

- This report was prepared in accordance with instructions provided by the addressees exclusively for the sole benefit and use of each of them and such other parties whom we expressly agreed in writing may have the benefit of, or rely upon, our work.
- We or our partners, employees and agents neither assume nor accept any duty or responsibility to the reader, whether in contract or in tort (including without limitation, negligence and breach of statutory duty), or howsoever otherwise arising. We make no representations regarding the events occurring after the date of this report. We shall not be liable in respect of any loss, damage or expense of whatsoever nature which results from any use the reader may choose to make of this report, or any reliance the reader may seek to place on it, or which is otherwise consequent upon access to this report by the reader.
- The results and findings of the procedures performed are presented in this report. However, these procedures do not constitute an audit and, had we performed additional procedures or conducted an audit in accordance with generally accepted auditing standards, other matters might have come to our attention, which we would have reported to you.
- Our work was restricted to the financial statements and other information provided by the Company. The financial statements are the responsibility of Company's Management. In this regard, Management is responsible for proper recording of transactions in the accounting records and maintaining an internal control structure to permit the preparation of reliable financial statements.
- Our report makes reference to our analysis, which represents certain analytical activities performed on the underlying data to arrive at the information presented; we do not accept the responsibility for the underlying data.



- We have provided reference within our summary the sources of the information presented. Please note that we have not sought to establish the reliability of these sources by reference to independent evidence. We have analyzed the information made available and to the extent possible, have satisfied ourselves that the information presented is consistent with other information provided to us during the course of our work.



SCOPE OF AND CONTEXT OF OUR WORK

- Our scope was spread over the financial, statutory compliances and legal aspects of the company.
- The period covered by our scope is from 21st July, 2022 to 31st October, 2023.
- We have been able to address all the matters, except as stated in scope limitations, envisaged in our scope of work, the key conclusions of which are presented over the remainder of this report.

Sources of information

- Audited Financials for the Financial Year 2022-23 and Unaudited Provisional Financials for the period 01st April, 2023 to 31st October, 2023 of SCJR Consumers Private Limited.
- Certificate of Incorporation of the company along with MCA Search of Public Documents.
- GST Registration Certificate.
- GST Returns.
- Income Tax Return.

We have not verified the following:

- Factual Accuracy while filing Various Returns under GST, Income Tax, TDS, ROC etc. provided to us.
- Issues relating to accounting principles.
- Related Party Transactions – whether the same are at arm's length and whether any disallowance was required to be made in any Act.



BACKGROUND OF THE COMANY

- **SCJR Consumers Private Limited** (CIN: U52110TG2022PTC165056) is a Private Limited Company which was incorporated on 21st July, 2022 under the provisions of the Companies Act, 2013 and its Registered Office is situated at 8-2-268/K/3, Navodaya Society, Rd No. 2, Banjara Hills, Hyderabad- 500034, Telangana, India.
- The Company is engaged in **Social Commerce Sector**.

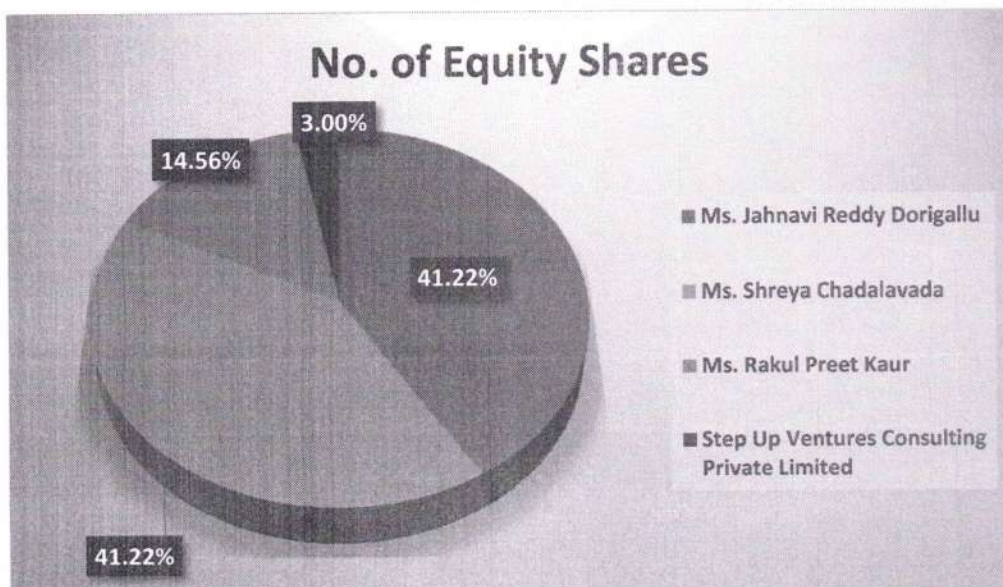
OWNERSHIP AND SHAREHOLDING PETTERN AS ON 31.10.2023

Particulars	Amount (Rs.)
Authorized Equity Share Capital (20,000 Equity Shares of Rs. 10 each)	Rs. 2,00,000
Paid up Equity Share Capital (15,000 Equity Shares of Rs. 10 each)	Rs. 1,50,000
Authorized Preference Share Capital (5,000 Preference Shares of Rs. 10 each)	Rs. 50,000
Paid up Preference Share Capital (Series A1) (695 Preference Shares of Rs. 10 each)	Rs. 6,950

BREAKUP OF PAID-UP EQUITY SHARE CAPITAL:

Particulars	Amount (Rs.)	% of Shareholding
Ms. Jahnvi Reddy Dorigallu (6,184 Equity Shares with voting rights of Rs. 10 each)	Rs. 61,840	41.22%
Ms. Shreya Chadalavada (6,184 Equity Shares with voting rights of Rs. 10 each)	Rs. 61,840	41.22%
Ms. Rakul Preet Kaur (2,182 Equity Shares with voting rights of Rs. 10 each)	Rs. 21,820	14.56%
Step Up Ventures Consulting Private Limited (450 Equity Shares with voting rights of Rs. 10 each)	Rs. 4,500	3.00%
Total (15,000 Equity Shares with voting rights of Rs. 10 each)	Rs. 1,50,000	100.00%





BREAKUP OF PAID-UP PREFERENCE SHARE CAPITAL (SERIES A1):

Date of Allotment	Name of Shareholders	Amount (Rs.)	% of Shareholding	Amount of Security Premium per Share
30.03.2023	Step Up Ventures Consulting Private Limited (176 Preference Shares of Rs. 10 each)	Rs. 1,760	25.32%	Rs. 5,657/Share
30.03.2023	Mobeen Jassat (35 Preference Shares of Rs. 10 each)	Rs. 350	5.04%	Rs. 5,657/Share
30.03.2023	Mohammed Amer (88 Preference Shares of Rs. 10 each)	Rs. 880	12.66%	Rs. 5,657/Share
30.03.2023	Syed Mateen Yunus (88 Preference Shares of Rs. 10 each)	Rs. 880	12.66%	Rs. 5,657/Share
30.03.2023	Rameez Momin (88 Preference Shares of Rs. 10 each)	Rs. 880	12.66%	Rs. 5,657/Share
30.03.2023	Syed Tariq Ahmed (88 Preference Shares of Rs. 10 each)	Rs. 880	12.66%	Rs. 5,657/Share
30.03.2023	Sameer K (88 Preference Shares of Rs. 10 each)	Rs. 880	12.66%	Rs. 5,657/Share
12.04.2023	Syed Mahmood (44 Preference Shares of Rs. 10 each)	Rs. 440	6.34%	Rs. 5,657/Share
	Total (695 Preference Shares of Rs. 10 each)	Rs. 6,950	100.00%	



DETAILS OF CHANGES IN PROMOTERS'/SHAREHOLDERS' HOLDING AND ISSUE OF FRESH EQUITY

Date of Allotment	Name of Promoter (P)/Shareholder (S)	Number of Shares held	% of Shareholding	Fresh Issue	Diluted	% of Dilution
<u>FY 2022-23</u>						
21.07.2022	Jahnavi Reddy Dorigallu (P)	6,375	42.50%	YES	---	---
21.07.2022	Shreya Chadalavada (P)	6,375	42.50%	YES	---	---
21.07.2022	Rakul Preet Kaur (P)	2,250	15.00%	YES	---	---
05.08.2022	Jahnavi Reddy Dorigallu (P)	6,184	41.22%	---	YES	1.28%
05.08.2022	Shreya Chadalavada (P)	6,184	41.22%	---	YES	1.28%
05.08.2022	Rakul Preet Kaur (P)	2,182	14.56%	---	YES	0.44%
05.08.2022	Step Up Ventures Consulting Private Limited (S)	450	3.00%	---	---	---

Based on the above table, we conclude that Promoter and Non-Promoter Equity Shareholding as on 31.10.2023 is as under:

Type of Equity Shareholding	% of Equity Shareholding
Promoter Group	97.00%
Non-Promoter Group	3.00%
Total:	100.00%

KEY MANAGEMENT PERSONNEL OF THE COMPANY

Key Management Personnel	Designation
Jahnavi Reddy Dorigallu	Director
Shreya Chadalavada	Director



FINANCIALS OF THE COMPANY

I. BALANCE SHEET

(Amount in Hundreds Rs.)

<i>Particulars</i>	<i>As at 31.10.2023 (Unaudited)</i>	<i>As at 31.03.2023 (Audited)</i>
<i>Equity and Liabilities</i>		
<i>Shareholders' funds</i>		
(a) Share Capital	1,569.50	1,569.50
(b) Reserves and Surplus	6,705.83	33,915.24
(c) Share Application Money Pending Allotment	0.00	0.00
<i>Non-current liabilities</i>		
(a) Deferred Tax Liabilities (Net)	0.00	0.00
(b) Long Term Borrowings	0.00	0.00
<i>Current Liabilities</i>		
(a) Short Term Borrowings	4,141.38	4,041.38
(b) Trade Payable	5,738.02	1,146.90
(c) Other Current Liabilities	0.00	0.00
(d) Short Term Provisions	630.00	630.00
Total	18,784.73	41,303.02
<i>Assets</i>		
<i>Non – Current Assets</i>		
(a) Property, Plant and Equipments	0.00	0.00
(b) Intangible Assets	0.00	0.00
(c) Capital Work in Progress	0.00	0.00
(d) Long term loan and advances	0.00	0.00
(e) Non-Current Investments	0.00	0.00
(f) Deferred Tax Assets	0.00	0.00
<i>Current Assets</i>		
(a) Trade Receivables	189.00	247.37
(b) Cash and Cash Equivalents	6,573.25	37,099.79
(c) Inventories	9,045.91	933.58
(d) Other Current Assets	2,976.57	3,022.28
Total	18,784.73	41,303.02



II. STATEMENT OF PROFIT AND LOSS

(Amount in Hundreds Rs.)

<i>Particulars</i>	<i>For the period 01.04.2023 to 31.10.2023 (Unaudited)</i>	<i>For the year ended 31.03.2023 (Audited)</i>
Income		
(a) Revenue from Operations	39,053.79	826.90
(b) Other income	63.33	37.81
Total Revenue (A)	39,117.12	864.71
Expenses		
(a) Changes in Inventory	18,805.19	223.92
(b) Employees' benefits	7,765.00	600.00
(c) Finance Costs	39.77	0.00
(d) Depreciation	0.00	0.00
(e) Other expenses	39,627.05	5,441.71
Total Expenses (B)	66,237.01	6,265.63
(a) Prior Period Item (C)	0.00	0.00
(b) Tax Expense (D)	0.00	0.00
Profit/(Loss) for the year (A)-(B)-(C)-(D)	(27,119.89)	(5,400.92)

- It is observed that Books of accounts relevant for the period April, 2023 to October, 2023 is under finalization and therefore, Ledger balances are subject to change.

• Other Observations:

A. Revenue from Operation:

Particulars	Amount (Rs.) as on 31.10.2023	Amount (Rs.) as on 31.03.2023
Sale of Products	39,05,378.82	82,689.55
Total	39,05,378.82	82,689.55



Observations from Audited and Unaudited Financial Statements

I) General Observations:

- It is observed that during FY 2023-24, Sales of Rs. 1,780/- (Gross) made to KIMS is **not booked** and as an effect, **GST is not paid**.

II) Income Tax Act, 1961:

- It is observed that during FY 2023-24, **no TDS is deducted** on payment made under Advertisement Expense to Facebook (Rs. 26,41,281/-).
- It is observed that during FY 2023-24, **no TDS is deducted** on payment made under Advertisement Expense to Google (Rs. 4,43,211/-).
- It is observed that during FY 2023-24, **no TDS is deducted** on payment made under Shipping Charges. (Rs. 2,36,401/-).
- It is observed that during FY 2022-23, **no TDS is deducted** on payment made under Advertisement Expense to Facebook (Rs. 75,976/-).
- It is observed that during FY 2022-23, **no TDS is deducted** on payment made under Marketing Expense. (Rs. 75,000/-).

III) Goods and Services Tax:

General Observations for GST Compliances:

- GST Returns summarized details are as under:

● SCJR CONSUMERS PRIVATE LIMITED (36ABJCS0338L1Z2)					
Comparison of GSTR-3B with GSTR-1 & GSTR-2B for the period 01st April, 2023 to 31st October, 2023					
Details of Outward Supplies					
Grand Total as Per...	Total Taxable Value	IGST	CGST	SGST	CESS
GSTR-3B	38,91,401.32	4,18,966.07	24,001.08	24,001.08	0.00
GSTR-1	38,91,401.32	4,18,966.07	24,001.08	24,001.08	0.00
Sales as per Unaudited Provisional Financials	39,05,378.82	4,66,970.42	0.00	0.00	0.00
GSTR-3B - GSTR-1 Difference	0.00	0.00	0.00	0.00	0.00
Sales as GSTR-1 - Sales as per Unaudited Provisional Financials Difference	-13,977.50	-48,004.35	24,001.08	24,001.08	0.00



Eligible ITC					
GSTR-3B	0.00	8,53,888.73	8,679.97	8,679.97	0.00
GSTR-2B	0.00	8,53,888.73	8,679.97	8,679.97	0.00
GSTR-3B – GSTR-2B Difference	0.00	0.00	0.00	0.00	0.00

● SCJR CONSUMERS PRIVATE LIMITED (36ABJCS0338L1Z2)					
Comparison of GSTR-3B with GSTR-1 & GSTR-2B for the period 01st August, 2022 to 31st March, 2023					
Details of Outward Supplies					
Grand Total as Per...	Total Taxable Value	IGST	CGST	SGST	CESS
GSTR-3B	82,689.56	9,922.74	0.00	0.00	0.00
GSTR-1	82,689.56	9,922.74	0.00	0.00	0.00
Sales as per Audited Financials	86,470.62	9,922.75	0.00	0.00	0.00
GSTR-3B - GSTR-1 Difference	0.00	0.00	0.00	0.00	0.00
Sales as GSTR-1 - Sales as per Audited Financials Difference	-3,781.06	0.00	0.00	0.00	0.00
Eligible ITC					
GSTR-3B	0.00	35,550.23	9,178.79	9,178.79	0.00
GSTR-2B	0.00	35,564.17	9,178.79	9,178.79	0.00
GSTR-3B – GSTR-2B Difference	0.00	13.94	0.00	0.00	0.00

- It is observed from the above table that during FY 2023-24, in Books, all Sales have been routed **through Output IGST despite having Output CGST and Output SGST Liabilities as per GSTR-1 Returns filed.**
- It is observed that during FY 2022-23, on Sales of Rs. 3,781.06 (Gross) (Grouped as Other Income), **GST has not been paid.**
- It is observed that the company has **paid** a total of Rs. 120/- as **Late Fees for GST due to late filing of GSTR-3B Returns** during financial years 2022-23 and 2023-24, yearly breakup of which can be found below: -

Year	Late Fees (Rs.)
2022-23	20.00
2023-24	100.00
Total:	120.00



- Based on the GST Return Filing Pattern, it is observed that during few months, **GSTR-1 and GSTR-3B Returns** have been **filed after due date**. Details are as under:

Month	GSTR-1 /GSTR-3B	Actual Date of Filing	Due Date of Filing	No. of days delayed by
August, 2022	GSTR-1	16.09.2022	11.09.2022	05
September, 2022	GSTR-1	13.10.2022	11.10.2022	02
September, 2022	GSTR-3B	22.10.2022	20.10.2022	02
June, 2023	GSTR-1	13.07.2023	11.07.2023	02
July, 2023	GSTR-1	22.08.2023	11.08.2023	11
July, 2023	GSTR-3B	22.08.2023	20.08.2023	02

IV) Secretarial Due Diligence:

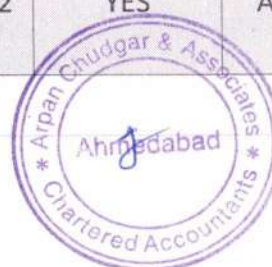
We have examined the records, documents available at MCA Portal of **SCJR Consumers Private Limited** (CIN: U52110TG2022PTC165056) having its Registered Office at 8-2-268/K/3, Navodaya Society, Rd No. 2, Banjara Hills, Hyderabad- 500034, Telangana, India as required to be maintained under the Companies Act, 2013 (the Act) and the rules made thereunder.

In our opinion and to the best of our information and according to the examination carried out by us and explanations furnished to us by the Company, its officers and agents and as per the records available at MCA portal, we report that in respect of the aforesaid period:

- The company was incorporated on 21st July, 2022 as a Private Limited Company in the name of **SCJR Consumers Private Limited** under the Companies Act, 2013.
- The company is engaged into the business of manufacturing, trading, online trading and marketing, export and import of consumer products which includes but not limited to beauty, fitness, personal health care, skin care, health care, diet related, home remedies, homeopathy, ayurvedic, herbal and other alternative medical or therapeutic treatments, wellness products and equipments and any other baby, women and adult centric products on the Company's online portals or websites as well as through e-commerce, m-commerce, internet, intranet, store, stalls, kiosks set up across India or abroad or in any other manner.
- The management of the Company on the date of this report is carried out by the Board of Directors comprising of persons listed below and the Board is duly constituted.

BOARD OF DIRECTORS AS ON THE DATE OF THIS REPORT

DIN/DPIN/PAN	Full Name	Designation	Date of Appointment	Whether DSC Registered	DIN Status
09682554	JAHNAVI REDDY DORIGALLU	DIRECTOR	21.07.2022	YES	ACTIVE
09682555	CHADALAVA DA SHREYA	DIRECTOR	21.07.2022	YES	ACTIVE



General Observations:

- It is observed that the **Authorized Share Capital** of the Company is reflected as **Rs. 5,00,000/-** on **MCA Portal** whereas as per **Company's Internal Record**, it is **Rs. 2,50,000/-** only.
- It is also observed that ROC Annual Return (**MGT-7A**) and Form of filing Financial Statements (**AOC-4**) relevant for FY 2022-23 is **pending to be filed** as the Due date to hold AGM is on or before 31.12.2023 and these Forms need to be filed within 30 days from date of holding AGM.
- As on the date of this report, no charge exists on the assets of the Company as per the MCA Master Data of the Company.
- No prosecutions initiated against or show cause notices received by the Company for alleged defaults/offences under various statutory provisions and also no fines and penalties imposed on the Company and/or any other action initiated against the Company and /or its directors.

